

PIPS, LOTS AND SIZE

The stop decides the size. Never the other way round.

Most beginner damage on gold is not bad analysis. It is a correct read taken at the wrong size, on an instrument that moves in hundreds of pips. This snippet fixes the arithmetic.

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LENGTH

4 pages

LEVEL

Beginner

RECORD

Reviewed by Sam

⚠ Trading gold, forex and CFDs on margin carries a high level of risk and you could lose more than your initial deposit. 70–80% of retail investor accounts lose money when trading CFDs. Past performance is not indicative of future results. All content is for education only and is not financial advice.

PART I

WHAT A PIP IS ON GOLD

Most brokers quote XAUUSD to two decimals. On that quote a move of 0.01 is one pip, so a move of 1.00 is 100 pips.

Read that twice, because it is where the confusion starts. Traders who came from currency pairs hear "300 pips" and think of a monster move. On gold it is a normal Tuesday.

PRICE MOVES	THAT IS
0.01	1 pip
0.50	50 pips
1.00	100 pips
25.00	2,500 pips

CHECK YOUR PLATFORM

Naming is not standard across brokers. Some platforms call 0.01 a point and 0.10 a pip, which makes the same distance read ten times smaller. Before you size anything, move your cursor 1.00 on the chart and read what the platform calls it. Then use that word consistently.

Lot size is the other half. It decides what one pip is worth to you — in both directions, equally. A bigger lot does not make a read more correct; it makes the same read more expensive when it is wrong.

SIZE COMES FROM THE STOP

Work in this order, every trade, without exception.

1. **Fix your risk.** One trade risks 1R — a fixed fraction of the account that you do not change mid-week, and never after a loss.
2. **Measure the stop.** Put it where the chart says the idea is wrong, then read the distance in pips.
3. **Solve for the lot.** The lot is whatever makes that pip distance equal 1R. It is arithmetic, not a preference.

STOP DISTANCE	LOT FOR THE SAME 1R
400 pips	1×
200 pips	2×
100 pips	4×

Reverse the order and everything breaks. Pick the lot first and the stop has to fit the size, which on gold puts it inside the ordinary noise of a session. You were not wrong. You were the wrong size.

THE RULE THAT SAVES ACCOUNTS

If the stop the chart wants is still more than 1R at your smallest available lot, the trade is too big for the account. Skip it and wait for a setup with a closer invalidation. There is one every week.

NEXT

THREE THINGS TO DO THIS WEEK

1. Confirm what your platform calls a pip on XAUUSD. Write it on a sticky note.
2. Write your 1R down as a single number and keep it fixed for the whole week.
3. Take your last five charts, measure where the stop should have been in pips, and size each one backwards from it.

WHERE THE SIGNALS LIVE

Every published setup states its stop in pips, so you can size it yourself before you take it.

Open the bot →

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NEXT SNIPPET

Snippet 03 — Levels that hold.

Where to draw support and resistance on gold, and why the retest is the trade.

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